

HOUSE No. 1133

The Commonwealth of Massachusetts

PRESENTED BY:

Marjorie C. Decker

To the Honorable Senate and House of Representatives of the Commonwealth of Massachusetts in General Court assembled:

The undersigned legislators and/or citizens respectfully petition for the adoption of the accompanying bill:

An Act relative to patient financial protection.

PETITION OF:

NAME:	DISTRICT/ADDRESS:	DATE ADDED:
<i>Marjorie C. Decker</i>	<i>25th Middlesex</i>	<i>1/16/2025</i>
<i>Estela A. Reyes</i>	<i>4th Essex</i>	<i>5/28/2025</i>

HOUSE No. 1133

By Representative Decker of Cambridge, a petition (accompanied by bill, House, No. 1133) of Marjorie C. Decker relative to insurance coverage out-of-pocket limits for prescription drugs. Financial Services.

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act relative to patient financial protection.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 SECTION 1. Chapter 175 of the General Laws, as appearing in the 2022 Official Edition,
2 is hereby amended by inserting after section 47PP the following section:-

3 Section 47QQ. Any policy, contract, agreement, plan or certificate of insurance issued,
4 delivered or renewed within the commonwealth that provides coverage for prescription drugs
5 shall establish a separate out-of-pocket limit for prescription drugs, which shall include specialty
6 drugs. The out-of-pocket limit shall not exceed the dollar amount set as the minimum annual
7 deductible for a high deductible health plan under section 223 of the federal Internal Revenue
8 Code of 1986, 26 U.S.C. §223 (c)(2)(A)(i), for self-only and family coverage, respectively. For
9 the purposes of this section the term “out-of-pocket limit” shall include expenses that: (1) are a
10 cost-sharing expenditure under section 1302 of the federal Patient Protection and Affordable
11 Care Act, 42 U.S.C. §18022 (c)(3); and (2) relate to prescription drug coverage.

SECTION 2. Chapter 176A of the General Laws, as appearing in the 2022 Official Edition, is hereby amended by inserting after section 8QQ the following section:-

Section 8RR. Any contract between a subscriber and the corporation under an individual or group hospital service plan which is delivered, issued, or renewed within the commonwealth that provides coverage for prescription drugs shall establish a separate out-of-pocket limit for prescription drugs, which shall include specialty drugs. The out out-of-pocket limit shall not exceed the dollar amount set as the minimum annual deductible for a high deductible health plan under section 223 of the federal Internal Revenue Code of 1986, 26 U.S.C. §223 (c)(2)(A)(i), for self-only and family coverage, respectively. For the purposes of this section the term “out-of-pocket limit” shall include expenses that: (1) are a cost-sharing expenditure under section 1302 of the federal Patient Protection and Affordable Care Act, 42 U.S.C. §18022 (c)(3); and (2) relate to prescription drug coverage.

SECTION 3. Chapter 176B of the General Laws, as appearing in the 2022 Official Edition, is hereby amended by inserting after section 4QQ the following section:-

Section 4RR. Any subscription certificate under an individual or group medical service agreement delivered, issued or renewed within the commonwealth that provides coverage for prescription drugs shall establish a separate out-of-pocket limit for prescription drugs, which shall include specialty drugs. The out-of-pocket limit shall not exceed the dollar amount set as the minimum annual deductible for a high deductible health plan under section 223 of the federal Internal Revenue Code of 1986, 26 U.S.C. §223 (c)(2)(A)(i), for self-only and family coverage, respectively. For the purposes of this section the term “out-of-pocket limit” shall include expenses that: (1) are a cost-sharing expenditure under section 1302 of the federal Patient

Protection and Affordable Care Act, 42 U.S.C. §18022 (c)(3); and (2) relate to prescription drug coverage.

SECTION 4. Chapter 176G of the General Laws, as appearing in the 2022 Official Edition, is hereby amended by inserting after section 4GG the following section:-

Section 4HH. Any individual or group health maintenance organization that provides coverage for prescription drugs shall establish a separate out-of-pocket limit for prescription drugs, which shall include specialty drugs. The out-of-pocket limit shall not exceed the dollar amount set as the minimum annual deductible for a high deductible health plan under section 223 of the federal Internal Revenue Code of 1986, 26 U.S.C. §223 (c)(2)(A)(i), for self-only and family coverage, respectively. For the purposes of this section the term “out-of-pocket limit” shall include expenses that: (1) are a cost-sharing expenditure under section 1302 of the federal Patient Protection and Affordable Care Act, 42 U.S.C. §18022 (c)(3); and (2) relate to prescription drug coverage.

SECTION 5. This act shall apply to all policies, contracts and certificates of health insurance subject to section 47QQ of chapter 175, section 8RR of chapter 176A, section 4RR of chapter 176B and section 4HH of chapter 176G of the General Laws delivered, issued or renewed on or after January 1, 2025.